

I hope this way of looking at risk can help you approach portfolio composition in a different manner.

■ As a Complement to an Equity Portfolio

Most investors, institutional as well as individual, prefer to hold a large part of their money in the equities market, that is, they want to be long stocks for the long term. I attribute this attitude mostly to the indoctrination from schools and governments about the conventional wisdom that ‘the equity markets always go up in the long run’, which in a manner of speaking is absolutely true, if you live long enough. Between 1992 and 2021, the S&P 500 returned around 10% per year on average, including dividends. And this period covers some extraordinary bull markets which are unlikely to last. During the same time, it showed three drawdowns in the 35–55% range. So if you happen to buy at the peak just before that drawdown, you can expect over a decade to recover your initial investment. To add insult to injury, if you had your money invested with an indexed mutual fund, you would with overwhelming probability end up with an even lower annual return while you pay the bank to keep underperforming.

Now, before I get beaten over the head with a stick for writing off a whole asset class, let me explain my position a bit further. I have nothing against stocks and, in fact, I trade several profitable stock strategies and even some that are long only. My objection is only to the standard approach to the stock market of buying a basket of stocks, most likely whatever happens to be in a specific index, and just holding it for year after year. This is indeed a very risky strategy which can easily be seen from the numbers just mentioned, but the marketing effort of certain universities, governments, and banks has been massively successful and people seem quite content to get their single, digit return for taking the risk of losing over half their assets. There are many viable strategies for participating in the long-term bull markets in equities, which tend to be very profitable when they come along, but simply buying and sitting on stocks for decades does not make much sense to me. Still, many investors like doing this and so let’s have a closer look at how their overall returns can be improved by holding part of their money in the equities market and part of it in a strategy, such as the ones I discuss in this book.

The question that we need to ask here, and which ultimately we would like our potential investors to ask themselves, is: ‘Can a standard long-only equity portfolio be improved by adding managed futures to the mix?’ This problem could be approached from a strict Markowitz methodology of building covariance matrices, Lagrange multipliers, and other equally fun